

HR Analytics
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Lecture 49: Performance Analytics -4

Dear participants, till now we have discussed some metrics related to the performance management in first three sessions of performance analytics, right. So, this is the fourth session of performance analytics. In this session also, we will discuss some of the metrics related to performance management right. So these metrics will help you to make a decision at the workplace. So let us start the session with the content of the day. So this is the content of the day.

In this session we will learn nine box metrics, right. Potential and Performance matrix. So, these metrics will help you to divide all employees into the 9 categories, right? So, in 9 categories, you can divide all employees, and accordingly, you can make their developmental plan and plan for the promotion transfer. So, if thousands of employees are working, so if you have to divide all employees into various categories, right? As per their performance, this matrix will help you to divide all employees into 9 categories.

Second aspect that is what we will discuss causes for the underperformance. If somebody is not able to meet the expectation within the organization, so what are the causes? Right, now we can identify these, all causes right that is what we will understand. After this under causes of underperformance, we analyse the causes for the underperformance, then what we will do and which type of meeting we are supposed to do. If employees are performing under, then what are the reasons for that and which type of meeting that we should do with them. So that is what we will discuss.

And next, that is what we will discuss area for improvement for the performance management. Like in each organization, we are having performance management system. So, continuously if you would like to improve your system, so how you can improve, what are the areas in which you should make the changes, right. What you can do you can make the analysis of the appeals right like after the performance appraisal right the entire process is done then the employee make an appeal they believe my performance is the performance rating is not up to the mark it should have been improved right so these are the concern that employees are having so they will make an appeal to the HR

department, right and then HR department will review the query and will give the answer for that particular query. So, how that analysis for these appeals can be done in order to improve the performance management system within the organization.

So, this is the content for the day. So, let us start with 9 box matrix, right. So, what you can do for 9 box matrix, so that is how you can see here 9 boxes are there So, what do you need to see on a x axis that is what you can see performance rating. So, on x axis and y that you can see the potential rating. So, in a performance appraisal form you will see these two things are there, performance rating and how much potential you have to perform in the future, right.

So, these two dimensions are there. So, based, so in a recruitment also I had discussed this potential rating, how to give a potential, how to rate the potential, right. So, based on that, based on this potential rating you can decide some number like if it is a 1 to 7 scale, so 1 to 7. Then 6 and 7 you can put into the higher category, high category and 5, 4, 3 you can put into the average and 1 or 2 that you can put under the low. Similarly, you can put the performance rating 1 to 7.

1 to 7 category that is what you can put the employee performance rating 1 to 7 that you can put. So, in that in this what you can do. So, all employees for example, like department wise if you want to present it you can put a department wise also all employees working in particular department you can do the average and then you can put the department here which department which one is the highest performing department and which one is the lowest performing department. Similarly, you can do for the employee. So, for let us take the example here like employee number 1.

So, average performance rating is 5, for performance rating and for potential it is 3. for performance it is 5 and potential it is 3. So, 5 let us assume 1, 2, 3, 4, 5. So, 5 is here. So, and 3 somewhere here.

So, this is the box in which this particular employee will come. So, that is how you can put the all employees into the 9 boxes. So, department wise you can do it, you can do for the all entire organization also. And that box number 1, what then accordingly you can make the plan. So, if potential also very high and performance is very high, so this box, this top box will come.

So, how many, what is the percentage of employee who are here? And now you have what plan that you have to make so that all employee moves towards that particular box, this particular box. So, now you have to make some developmental plan, coaching plan, mentoring plan. So, accordingly you can make it. So, if potential also low and

performance also low. So, this is the category that you need to think about very, very seriously.

Because they do not have potential and their current performance also very poor. People who come, employee who comes under this category, the organization seriously need to think about it. So, the moment you have divided the all employees into the various categories and then you can make the developmental plan. So, one is that you can use the performance rating and another is that you can use the percentage of the goal achievement. So, if you remember in the last session I have discussed the goal achievement, how you can measure the goal achievement.

So, if you do not want to use this performance rating, you can use the goal achievement also. This potential also like how much potential employees are having After that you can divide the all employees into the 9 categories and then accordingly you can make the plan. So, you will be able to make the plan and now if you want to divide these employees according to the position, according to department or for all over organization you can do that. It is not mandatory only you have to divide these employees only on organization basis, you can divide for the position basis and you can divide for these employees into the 9 categories on department basis also. So that is how you can use the 9 box matrix and you can now another thing that you can do it after dividing you can put the percentage, percentage of the employee like what is the percentage of the employee who comes in the top category.

What is the percentage of the employee who which comes under the low potential and low performance rating? So, that is how you can have an idea how many employees are there and what is their percentage in which category. So, that is how you can convert the numbers into the percentage also. Next aspect that we want to discuss the causes for the underperformance. So, in performance management you already know what is the formula for the performance. So, performance is equal to ability motivation and opportunity.

Opportunity is given by the organization. So, if all three things are there, then only employee will be able to perform. If motivation is not there, but ability and opportunity is there. If ability is there, but motivation and opportunity is not there, then also employee cannot perform. If motivation is there, but opportunity is not there and ability is not there, then also employee cannot perform.

So, for the employee performance, all three things has to be there, ability, motivation and opportunity, right, all three things has to be there. If all three things are not there, then employee cannot, you may find that employees are underperforming. So, once this

performance appraisal is done, now you want to identify the region for the underperformance. So, you have already prepared the 9 box matrix here. So, if you want to know these are the people who are underperforming, these are the people who are not performing good.

So these are the employees. Now you want to do the analysis of these people. So what is the reason for their low performance? So here I already discussed the formula for the performance, ability, motivation and opportunity. So now you got these number of people who are not performing, who are under performance. So now what you can do, you can identify the people why they are not performing.

They are not performing because of the opportunity that is given to them, they are not performing because of the motivation that is given to them or they are not performing because of the ability. Why it is important to identify this cause for the underperformance? Because it will help you to decide the content for the performance review meeting, right. If you want to have a review meeting, then for that it will help you. If somebody is not having ability, somebody is not having opportunity, somebody is not having the motivation, so the content for the review meeting has to be different. You cannot give the same kind of motivation to a person who is not given the opportunity.

If somebody is not given the opportunity, it means that person has ability and motivation. Then you need to think, you need to discuss with that person about the opportunities that can be given in a future inside the organization. So, that is why it is important to identify the root cause for the underperformance. If it is ability, then you need to think about the, you need to talk about the some of the training programs, how the ability can enhance, an employee can enhance their ability. Now, related to motivation if problem is there, then I say always for motivation you think about IPD, right.

I am not talking about inpatient department. I stands for intensity, P stands for persistence and D stands for direction. So, motivation, if low motivation is there, it means intensity, persistence and direction is lacking in the employee. That is the meaning of the low motivation. So, intensity stands for how hard somebody try.

Persistence, like how many times if you have failed then how many times you want to repeat the things in order to get success in that particular task. So, persistent, how constantly you are keep on trying after the failure also. And efforts that you are making, so in which direction you are making the effort. So, is there any problem with these three things intensity, persistence or direction? If is there any problem with this because of these three things employee is not performing then it will come under the motivation right. So, after the performance appraisal process what you can do, you can identify the

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employees.

For example, 100 employees are working in your organization. Now, you 100 employees are there who are performing under below the expectation or below the expectation of their supervisor. Now, you do the analysis and then identify how many are. So, for example, out of 100, 20 are not performing because of their ability issues and motivation issues and opportunity issues right. Now for this 20, 40 you can make some plan right the moment you have identified these are the issues right.

Now question comes how you will understand, how you will identify what is the issue for their under performance. So, in performance appraisal form, it would be mentioned by the supervisor if somebody is not performing. So, that description would be given to why this person is not performing. So, by reading that one, you have to identify the reason for the underperformance, whether it is the opportunity, whether it is the motivation or whether it is the ability because this is the formula for the performance. If somebody is performing, So, because of ability, motivation and opportunity all three things are there.

If all three things are there then definitely person will perform within the organization or if some one of the thing is missing or one of the thing is not available then that person will not be able to perform in the organization. So, as a manager It is our duty to understand what is the reason for the underperformance, right? So, the moment you have decided this is these are the reasons for the underperformance, and now you can manage, you can manage their underperformance, and you can make some concrete plan as per the need of the employee. So, that is why, that is how you can do the analysis for the underperforming employees, right? So, now let us move to the next slide. Now, so I already said this outcome of this under performance that you can convert into the meetings and content. So, now you can decide for types of review meeting that are taking place, so tell or sell, right.

So, your supervisor is telling and then you have to just listen that what he is saying, right. So, department wise that you can make a plan these are these number of the people who are performing under perform who are having the under performance and these are the regions right so for ability people you will tell to the supervisor you need to have this kind of discussion for motivation region you need you can have a different type of discussion and for opportunity you can have a different type of discussion with the employees The second important thing is that at the moment, you have divided this performance department-wise and position-wise, so you will understand at this position why people are not performing and in particular department why people are not performing so a thing also you will understand. Right so after and one more thing that you can make the data after this performance appraisal process is how many appeals that

you are receiving from which department for will for which position right so that also will give you an idea right whether this goal setting is a problem It may be possible sometime goals are so high that person is not able to achieve and you are deciding whether somebody is performing well or not on the basis of goal achievement. So what is your goal achievement percentage? In a goal setting if goals are so high, so challenging because of that it is happening so that you need to understand. So that also you can understand by analysing these appeal that is received by the department, right.

So here you need to categorise the all appeals that you are getting department wise and job positions wise, right. So that is how you can do the appeal analysis, right. So this will help you to make some changes in the performance management process, right. So, for example, if lot of complaints are coming, so that may help you to understand the various challenges related to the politics that is there in the department. Sometime because of the politics this performance management system also affected, right.

So, that may give you an idea after analysing this appeals that you are getting it and that these appeal analysis may give you the direction for the area for improvement. For example, raters error. Sometime what happens whoever is rating the subordinate that person is not trained enough how to give a rating right. So, because of that the rating that employees are getting that also may be impacted. So, in this case what may happen the department may organize the training program for these raters whoever is the supervisor they may organize.

So, that this they will be able to give the accurate rating and the number of appeals can be reduced, right. So, to train the supervisor, how did you get the idea? You have to train the supervisor for this rating, this idea you got after the analyzing the appeals that you are receiving in the department. So, you can analyze these appeals and you can understand in which area that you need to improve. So, if systematic interventions that you need to do or you need to improve the raters rating, how the raters are making the rating. So, that is the, that attitude has to be improved or that climate has to be improved.

So, for that you need, you can do, you can organize some of the trainings. So I hope you would have learned how to use the nine box matrix and make the decisions and how to do the appeal analysis, right, and after making this analysis how you can improve your performance management system. Thank you.